COURSE

Leaving Certificate Business (current syllabus)

Cash flow

Unit 4: Managing 2 · 4.1 Basic cash flow; applying for a loan

Revision for Unit 4: Managing 2: each firm works it out on its own deals, in euros.

Class **Leaving Certificate Business** Topic **Cash flow**

THE LESSON

Setup	2 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	TASK 1 **Net cash flow today**	TASK 2 **Why cash is short**

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 3 **Cash timing order**	TASK 4 **Month-end balance**	**B2B deal**

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 5 **Factor or overdraft**	TASK 6 **Bank covers the gap**	**B2B deal**

Final questions	3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments	Buy property or funds. The value can rise or fall.
Operations	**Buying**	Hire the Procurement Specialist or the Stock Controller for the round.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

They pay a deposit today.

Net cash flow today? Money out is minus.

WORK OUT THE NUMBER · EXAMPLE FIGURES

You buy them today	**€34,400**
Customer's price	**€39,700**
Customer pays today	**10%**

METHOD

Net cash flow = % paid today × price − you buy them

10% × €39,700 = €3,970; €3,970 − €34,400 = −€30,430

Why: The deposit covers only €3,970 of the €34,400 you pay today.

Task 2

ROUND 1

Profit is high, but the bank says you are over your overdraft limit.

Which two best explain the cash shortage?

PICK TWO

- ✔ **Customers are slow to pay**
- ○ Gross profit margin has fallen
- ○ More buyers pay by card
- ○ Suppliers give 60 days to pay
- ✔ **Too much cash tied up in stock**

Why: Slow payers and stock hold cash back; card sales and supplier credit help.

Task 3

ROUND 2

Cars wait 20 days before sale. Supplier paid 30 days after delivery; customer 60 days after sale.

Put these in time order, first to last?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **The cars arrive**
2. **The cars are sold**
3. **You pay the supplier**
4. **The customer pays you**

Why: Day 0 arrive, day 20 sold, day 30 supplier paid, day 80 paid: a 50-day gap.

Task 4

ROUND 2

They pay half in month 2.

Balance at the end of month 2?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Set aside for this deal	**€15,900**
Month 1: you buy the cars	**€51,150**
Running costs, each month	**€780**
Customer's price	**€62,000**

METHOD

Balance = set aside − you buy the cars − 2 × running costs + half the price

€15,900 − €51,150 − 2 × €780 + €31,000 = −€5,810

Why: Month 2 is still short: the other half comes in month 3.

Task 5

ROUND 3

A customer owes you €40,000 in 60 days. A factor pays you now for 4%; an overdraft costs 12% a year.

Which is cheaper, and why?

PICK A OR B AND GIVE A REASON

- ○ The factor
- ✔ **The overdraft**

Why: 4% of €40,000 is €1,600; 12% a year for 60 of 365 days is about €790.

Task 6

ROUND 3

The bank covers the gap.

Balance at the end of month 2?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Set aside for this deal	**€16,400**
Month 1: you buy the cars	**€42,000**
Charge on month 1 overdraft	**2%**
Month 2: customer pays	**€52,050**

METHOD

Balance = set aside − cars − overdraft charge + customer pays

Month 1: −€25,600; charge 2% × €25,600 = €512; −€25,600 − €512 + €52,050 = €25,938

Why: Waiting for the customer cost €512 in bank charges.

Final questions

6
questions for each pupil

50
questions in the Irish set

10
of them on cash flow

The game draws 6 questions from the lesson topic "Cash, profit and VAT"; these 10 are about cash flow.

1 You bought a used hatchback for €8,400 and sold it to a customer for €10,400. VAT is 23/123 of the margin. How much VAT does this sale leave to pay?
€374

2 This round your firm sold three vehicles. The margins were €1,500, €3,300 and a loss of €600. How much VAT does the round's return ask for?
€897

3 Your firm has sold cars this round but has not filed the VAT return yet. Where does the VAT you owe show?
As a debt in the net position until the return is filed and paid.

4 A customer pays your firm €12,000 for a car that cost you €9,800. Who pays the VAT on this sale to Revenue?
Your firm, out of the price it received, when it files the return.

5 Your firm owes €1,122 of VAT this round and files the return late. The late charge is €125. What does the late return cost in total?
€1,247

6 Cash €150,000, stock at cost €40,000, a loan of €25,000 and unpaid VAT of €1,200. What is the net position?
€163,800

7 Your cash went up by €10,400 when a customer paid for a car that cost €8,400. How much of that cash is not really yours to spend?
The VAT on the margin, €374, which is owed to Revenue.

Final questions

8 You sell two scooters to customers: one bought for €2,100 and sold for €2,600, one bought for €2,400 and sold for €2,700. How much VAT do the two sales leave?

€149

9 The VAT return opens in the final 90 seconds of the round. Your firm has €2,600 of VAT to pay and €1,900 in cash. What happens if you file now?

The return cannot be paid in full; the firm needs €700 more cash before it files.

10 Your firm has €2,000 in cash, €2,800 of VAT due in the final 90 seconds, and a car in stock priced at €9,000. What is the soundest move?

Sell the car before the return opens, or take the Quick Loan if no buyer comes.